# Boston Scientific (BSX)

## Medtech Cash Compounder

**Analyst: Justin Wen**

*Medtech Cash Compounder. Cardiovascular device leader with 69% gross margins, op margins expanding from 16.0% to 19.8% (FY22-25), ROE 19.3% and D/E of 0.43. Scale, IP and physician relationships form a genuine moat [10-K]. Air Pocket, Not a Broken Model. Q2 delivered 7% organic growth and a 15% EPS beat [10-Q Q2 '26]. H2 pressure comes from WATCHMAN and EP share losses plus a September cyber incident, forcing an FY26 guide cut to 5-6% organic [8-K]. Painful but identifiable. 70% Upside With a Trigger. At $42.48 [Mkt 17-Oct-26], DCF base $72.27 implies 70% upside and the reverse DCF prices -0.4% CAGR, below the 3% bear case. The Oct 28 Q3 reset is the clearing event that can rerate the name. Our framework screens it as a **Buy** with a $75.03 blended target, 69% above the current price.*

| BUY | $75.03 | +69% | $44.39 |
|---|---|---|---|
| INVESTMENT RATING | BLENDED TARGET | BLENDED UPSIDE | REFERENCE PRICE |

**Medtech Cash Compounder. Cardiovascular device leader with 69% gross margins, op margins expanding from 16.0% to 19.8% (FY22-25), ROE 19.3% and D/E of 0.43. Scale, IP and physician relationships form a genuine moat [10-K].**

### Executive summary

**Air Pocket, Not a Broken Model.** Q2 delivered 7% organic growth and a 15% EPS beat [10-Q Q2 '26]. H2 pressure comes from WATCHMAN and EP share losses plus a September cyber incident, forcing an FY26 guide cut to 5-6% organic [8-K]. Painful but identifiable.

**70% Upside With a Trigger.** At $42.48 [Mkt 17-Oct-26], DCF base $72.27 implies 70% upside and the reverse DCF prices -0.4% CAGR, below the 3% bear case. The Oct 28 Q3 reset is the clearing event that can rerate the name.

| $5.44B | $0.86 | 28.4% | 5-6% organic, $3.28-3.32 EPS | 3-5% organic, $0.80-0.82 EPS | Cyber incident |
|---|---|---|---|---|---|
| REVENUE (Q2 '26) | ADJ EPS (Q2 '26) | ADJ OP MARGIN (Q2 '26) | FY2026 GUIDE (CUT) | Q3 '26 GUIDE | SEP 8 DISCLOSURE |

### The moat is structural

Interventional cardiology, neuromodulation and interventional oncology delivered double-digit growth in H1 2026

### Three scenarios make the valuation range explicit

The DCF values Boston Scientific across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

| SCENARIO | WEIGHT | TARGET | UPSIDE |
|---|---|---|---|
| **Bear (Conservative)** | 25% | **$51.51** | +16% |
| **Base** | 50% | **$72.27** | +63% |
| **Bull** | 25% | **$104.07** | +134% |

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**Bear ($51.51, +16%):** Growth disappoints and multiples compress; the $51.51 target marks the downside case.

**Bull ($104.07, +134%):** Execution compounds and the multiple rerates; the $104.07 target marks the upside case.



## The probability-blended target implies +69% upside

### Blended target: $75.03 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +69% upside from the $44.39 reference price.

**$75.03**

BLENDED TARGET

## A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Fwd P/E 13.1x [Mkt 17-Oct-26] DCF Base $72.27 [DCF model] PEG ~1.0 [Mkt 17-Oct-26] 70% upside to the base case. A PEG near 1.0 is rare for a consistent double-digit EPS grower, though the cyber overhang earns the discount.

## Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

**Methodology note.** The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $75.03 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.



Interventional cardiology, neuromodulation and interventional oncology delivered double-digit growth in H1 2026 [8-K]

New COO (Joseph Fitzgerald) and 3-segment structure effective Jan 1, 2027 to speed decisions and improve capital allocation [8-K]

69% gross margins and 28.4% adjusted operating margins funding the pipeline and debt paydown [10-Q Q2 '26]

## What to monitor

**28-Oct-2026.** Q3 2026 Earnings + Revised Outlook (Two-Sided): Sep 8 statement says Q3 and FY guidance are unlikely to be met after the cyber incident. The reset print sets the new baseline.

**Jan 2027.** New COO + 3-Segment Structure (Positive): Joseph Fitzgerald takes over as COO; Interventional Therapies, Rhythm Solutions and MedSurg segments begin, designed to speed decisions.

**2027.** Pipeline Acceleration (Positive): Interventional cardiology, neuromodulation and interventional oncology delivered double-digit growth in H1 2026; product cycles need to offset WATCHMAN/EP pressure.

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## Financial summary

| YEAR | REVENUE | GROSS PROFIT | NET INCOME |
|---|---|---|---|
| 2025 | $20.1B | $13.9B | $2.9B |
| 2024 | $16.7B | $11.5B | $1.9B |
| 2023 | $14.2B | $9.9B | $1.6B |
| 2022 | $12.7B | $8.7B | $698M |



## Key risks

**Cyber Incident Overhang.** September 8 statement says Q3 and full-year guidance are unlikely to be met after the incident; the extent of operational impact is unknown until the October 28 revision. [8-K]

**WATCHMAN Structural Decline.** The US WATCHMAN market slowed sharply and unexpectedly on compounding clinical evidence, shifting referral patterns. This was a core growth driver and may be structural, not cyclical. [8-K]

**EP Competitive Share Loss.** Management did not anticipate the degree of competitive share movement in US electrophysiology. Share recapture is uncertain and expensive. [8-K]

## Investment view

The Oct 28 Q3 print plus revised outlook is the swing factor: if the cyber impact is contained and the new baseline is credible, Valuation and Trend rerate quickly. Another cut would drop Forward Growth and jeopardize the Buy rating.

**Buy.** The $75.03 blended target implies +69% upside, balancing the $51.51 / $72.27 / $104.07 Bear / Base / Bull targets.



New COO (Joseph Fitzgerald) and 3-segment structure effective Jan 1, 2027 to speed decisions and improve capital allocation [8-K]

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## Upcoming catalysts

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